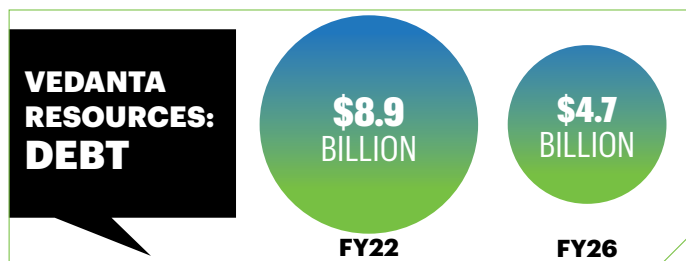


EBITDA ACROSS BUSINESSES

BUSINESS	FY25	FY 26	% CHANGE
 ALUMINIUM	17,798	25,502	43%
 ZINC	18,686	23,377	25%
 OIL AND GAS	4,664	4,350	-7%
 POWER	737	1,623	120%
 IRON ORE	1,006	1,007	0.10%
 FERRO ALLOYS	40	191	378%
 STEEL	522	164	-69%
 COPPER	-112	-48	-
 OTHERS	200	-189	-
TOTAL	43,541	55,977	26.56%

NOTE FIGURES IN ₹CR **SOURCE** ANNUAL REPORT



Scale has a role to play. For instance, HZL has about 75% of the primary market and is among the largest integrated zing companies globally. In the case of aluminium, Vedanta is up against Hindalco (its strength lies in downstream and the global Novelis business), while Nalco has an advantage in both raw materials and costs, though it scores low on scale.

Vedanta enjoys the clearest scale and low-cost advantages in aluminium production. A report by Kotak Institutional Equities on Vedanta Aluminium, published after its listing, says it has 62% share by capacity in India. In a global context, according to the report, Vedanta's capacity of around 2.9 million tonnes per annum (mtpa) places it among the top producers worldwide. "It is poised to be the third-largest player in the world (ex-China) after the commissioning of around 0.4 mtpa Balco capacity. This would place it behind only Rusal (4.1 mtpa) and Rio Tinto (3.4 mtpa) among global ex-China aluminium producers," says the report.

But one area of concern is oil and gas, and it became evident in FY26, with a 16% production decline in its flagship Rajasthan block. Arora believes it is a problem that no cost efficiency can offset. The business also had to deal with the government rejecting Vedanta's application for extension of the contract in Gujarat's Cambay basin block. "In this segment, ONGC's scale and government relationships remain decisive advantages, and Reliance is the dominant private sector operator. The strategic opportunity from new OALP (open acreage licensing policy that now allows companies to freely select and apply for exploration blocks) is real but is a 2028-30 story at the earliest," he says.

BREAKING IT DOWN

The big question now is the \$20-billion capex planned over the next three to five years across businesses and the ability to fund that through internal cash generation. "It is a genuine stretch, though not uniform across the group. It has a tilt towards oil and gas and aluminium at about